



MIFID II GUIDE FOR ASSET MANAGEMENT COMPANIES

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Preamble

The aim of MiFID II¹ and MiFIR² is to revise MiFID I³.

With regard to so-called Level 1 measures, the recently amended⁴ MiFID II requires transposition into national law by 3 July 2017 and entry into application of most its measures from 3 January 2018. In France, MiFID II is being transposed into the legislative part of the Monetary and Financial Code has been divided into two stages:

- the first stage was completed by publication of Ordinance No 2016-827 of 23 June 2016 on markets in financial instruments⁵, which transposed articles 1 to 66 of MiFID II's 95 articles and of which most measures will come into force on 3 January 2018;
- a second stage is ongoing. Article 46 of Law No 2016-1691 of 9 December 2016 on transparency, anti-corruption and economic modernisation authorises the government to issue an ordinance containing the necessary legal measures to fully transpose MiFID II, including provisions relating to the powers of competent authorities. This ordinance must therefore be published before 3 July 2017.

The recently amended⁶ MiFIR is to be applied directly (most of its measures will be applied from 3 January 2018) and as such will not be transposed into French law. It is nevertheless subject to what is known as 'negative' transposition (in accordance with the outline described above for the transposition of MiFID II), whereby existing French legal measures on subjects covered by MiFIR are repealed⁷.

With regard to so-called Level 2 measures, the European Commission has published:

- a delegated directive⁸ that must be transposed into the AMF's General Regulation before 3 July 2017, with a view to entering into application on 3 January 2018; and
- two delegated regulations and around thirty implementing regulations to be applied directly as of 3 January 2018 and which must be subject to 'negative' transposition, whereby any overlapping measures in the AMF's General Regulation are repealed.



¹ Directive 2014/65/EU of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments, amended by Directive (EU) 2016/1034 of 23 June 2016.

² Regulation (EU) No 600/2014 of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments, amended by Regulation (EU) 2016/1033 of the European Parliament and of the Council of 23 June 2016.

³ Directive 2004/39/EC of the European Parliament and of the Council of 15 April 2014 on markets in financial instruments.

⁴ MiFID II was amended by Directive (EU) 2016/1034 of the European Parliament and of the Council of 23 June 2016.

⁵ Ordinance issued in accordance with the government's authorisation to take the necessary legal measures to transpose MiFID II in compliance with article 28 of Law No 2014-1662 of 30 December 2014, containing various measures for adapting French legislation to European Union economic and financial law.

⁶ MiFIR was amended by Regulation (EU) 2016/1033 of the European Parliament and of the Council of 23 June 2016.

⁷ This 'negative' transposition of certain MiFIR measures, whereby existing French legal measures on subjects covered by MiFIR are repealed, was provided for in the aforementioned first Ordinance of 23 June 2016. However, since most MiFIR measures require direct application, the second transposition ordinance will feature standard 'positive' transposition, as required.

⁸ Commission Delegated Directive (EU) of 7 April 2016 supplementing MiFID II with regard to safeguarding of financial instruments and funds belonging to clients, product governance obligations and the rules applicable to the provision or reception of fees, commissions or any monetary or non-monetary benefits.

MiFID II and MiFIR contain major changes to investor protection, primarily with a view to improving disclosure and preventing conflicts of interest. They also represent a significant breakthrough in market structure and transparency.

In particular, MiFID II aims to regulate investment service providers. It applies to investment firms as well as to credit institutions and UCITS or AIF management companies as part of the provision of investment and related services⁹.

Nevertheless, it allows Member States not to apply the Directive to any persons that provide only the services of investment advice and reception and transmission of orders (RTO) on behalf of third parties, provided that the activities of those persons are authorised and regulated at national level and are subjected to requirements that are analogous to those applicable to investment firms. In France, for example, this is the case for financial investment advisors and crowdfunding investment advisors.

This Guide is for asset management companies (AMCs) in their capacity as service providers rather than investors. In addition, this Guide focuses mainly on MiFID II's new or reinforced measures on investor protection that will impact the activity of AMCs in terms of their clients or relationships with distributors¹⁰.

This is not an exhaustive document, but it does answer several of the questions facing existing AMCs with regard to the (Levels 1 and 2) measures of the framework directive and delegated acts that affect them, and the implementation of such measures.

Moreover, the content of this document is liable to change depending on the final transposition regulations and laws as well as the clarifications made by ESMA as part of its work on Level 3. ESMA published the first investor protection Q&A on 10 October and 16 December 2016¹¹ and completed consultation on product governance guidelines on 5 January 2017.

As a result of the above, this Guide may be further updated and supplemented in the future.

Lastly, and over and above the scope of this Guide, the effects of the MiFID II transposition work will force the AMF to update its policy published under MiFID I to bring it into line with the new texts.

How the AMF will support you through the process

- *Gathering the main questions from industry associations and then creating a website that can be accessed by AMCs*
- *Updating this Guide regularly (see Version 1.0 published on 16 March 2016)*
- *Providing you with day-to-day support through your dedicated advisors in the Asset Management Directorate*
- *Setting up several working groups with industry associations*
- *Holding regular meetings with the financial marketplace (see Compliance Officer Day on 22 March 2016, training sessions at Maison du Barreau on 11 May and 9 June 2016, etc.)*

⁹ As defined in Articles L. 321-1 and L. 321-2 of the French Monetary and Financial Code.

¹⁰ It should be clarified that MiFID II (which mainly concerns the provision of investment services) is not intended to exempt AMCs that are governed by the Alternative Investment Fund Managers Directive (AIFMD), for example, from the AIFMD's obligations regarding the marketing of AIFs.

¹¹ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Contents

Section 1 – Modification of AMC status

Section 2 – Product governance

Section 3 – “Independent” financial advice

Section 4 – Client information

Section 5 – Verification of the knowledge and competence of staff providing investment advice or information on financial instruments and services

Section 6 - Assessment of the suitability and appropriateness of the products or services provided to clients

Section 7 – Complex or non-complex nature, as described in MiFID II, of units/shares of UCITS and AIFs

Section 8 – Reports on services provided

Section 9 – Benefits and fees

Section 10 – Best execution, best selection and reporting

Section 11 – Market structure and transparency

Section 12 – Case study: The marketing of UCI units

Section 13 - Research funding

Section 14 – Data recording and retention

Section 15 - Reminder of next steps

Section 1 – Modification of AMC status

Main reference text¹²

French text

Article 122 of the so-called Sapin 2 law on transparency, anti-corruption and economic modernisation

Summary

Asset management companies (AMCs) are presently defined under French law as investment firms (IFs). Such a definition used to be justified by a desire to apply high standards to the different providers offering investment services and performing management activities in the aim of protecting investors. However, the arrival in recent years of sector-based European regulations, particularly UCITS and AIFM, has prompted discussions during MiFID II transposition work on how the statuses described in national law can be brought more into line with those defined in European texts¹³.

1. Distinction between AMCs and IFs

In order to minimise any gold-plating associated with applying MiFID II measures to all AMCs in their capacity as IFs, it was deemed necessary to exclude AMCs that perform collective asset management from the IF category, since these latter entities, by their very nature and as a whole, are affected by the future measures of MiFID II. Such a separation will enable AMCs, in their new scope, to remain under the present regime, while moving IFs to the full MiFID II regime.

Article 122 of the law on transparency, anti-corruption and economic modernisation¹⁴ authorises the French government to legislate on this matter by way of issuing an ordinance within nine months of said law being enacted. As such, the plan is to overhaul the status of AMCs using the same schedule as the one envisaged for completion of the transposition of MiFID II (publication of texts in July 2017 and entry into force on 3 January 2018).

Subject to the final texts, the aim can be interpreted as follows:

- AMCs that perform collective asset management and are authorised to manage UCITS or AIFs will no longer have IF status;
- AMCs that perform both collective asset management (UCITS or AIFs) and discretionary management (third-party portfolio management service) will no longer have IF status, and only their third-party portfolio management business will be governed by MiFID II¹⁵;
- AMCs which are not authorised to manage UCITS or AIFs and which provide third-party portfolio management services will be subject to MiFID II measures in full. Under French law, they will be classified only as IFs and will lose their AMC status.

¹³ The framework applicable to AMCs is currently being drafted and may therefore change from how it is presented in this Guide.

¹⁴ Law No 2016-1691 of 9 December 2016.

¹⁵ If the AMC is also authorised to provide other investment services (e.g. investment advice), the provision of these services will also be governed by MiFID II.

A reorganisation in this fashion will follow the pattern laid down in the European texts:

- investment service providers that do not perform collective asset management will be IFs¹⁶;
- entities that perform at least one collective asset management activity will be AMCs and will fall under the UCITS or AIFM directives or a national regime, regardless of whether they provide investment services.

On the other hand, the French concept of investment services provider will be left as it is (i.e. encompassing AMCs, IFs and credit institutions authorised to provide investment services).

2. Consequences in terms of rules applicable to the provision of investment services

The UCITS and AIFM directives enable AMCs to be authorised to provide certain investment services, which are listed in said directives, on a supplementary basis. They specify that in such a case, the AMCs must comply with certain MiFID measures.

Consequently, under the envisaged reorganisation, AMCs that, in addition to their collective asset management business, also provide investment advice, reception and transmission of orders (RTO) on behalf of third parties¹⁷ or third-party discretionary portfolio management services, will be subject, with regard to said services, to the corresponding MiFID II measures (changes to which are described in this Guide).

A distinction should be made between the following two situations:

1) The AMC is authorised under the UCITS or AIFM directives to provide these investment services:

In this case, the MiFID II measures applicable by cross-reference to the UCITS or AIFM directives shall be imposed in full on the AMC.

Moreover, the AMC can retain the benefit of any passports notified under the UCITS or AIFM directives for the provision of these investment services in Europe.

2) The AMC is not authorised under the UCITS or AIFM directives (e.g. it manages AIFs with a total value below the €100 million or €500 million thresholds, and it has not opted into full application of the AIFMD):

In this case, the consequences for the AMC depend on the services it provides:

- If it provides only invest advice and third-party RTO services, it may continue to provide these services under the exemption regime set forth in Article 3 of MiFID II by complying with rules that are analogous to those listed by MiFID II (these will be the same rules that apply to investment service providers). However, the AMC will not be able to passport these investment services (unless it has opted for authorisation under the UCITS or AIFM directives that permit such passporting);
- If it provides at least a third-party discretionary portfolio management service, the AMC will have to comply with MiFID II since such a service is not eligible for the exemption regime set forth in Article 3. There are three possible solutions:
 - o Spin off the third-party portfolio management service into an IF subsidiary (which will be subject to MiFID II in full);
 - o If the AMC manages AIFs, opt for full application of the AIFMD and request authorisation to provide the third-party portfolio management service;
 - o Manage a UCITS and request, in advance, authorisation under the UCITS directive to provide the third-party portfolio management service.

¹⁶ Except for financial investment advisors and crowdfunding investment advisors, who would be governed by a similar regime.

¹⁷ The proposed changes are not intended to enable AMCs that cannot currently provide an RTO service (e.g. AMCs that manage UCITS but are not authorised under the AIFMD) to do so.

3. Consequences in terms of rules applicable to the collective investment management business

The exercise upon transposition of MiFID II will, for the most part¹⁸, be conducted on a constant-law basis for the collective investment management business of the AMCs (this business being governed in particular by measures arising from the sector-based European regulations UCITS IV and AIFM).

4. Consequences for AMCs that perform only a discretionary management business (third-party portfolio management)

Under the envisaged reorganisation of IF/AMC statuses, as mentioned above, AMCs that perform only a third-party discretionary portfolio management service (i.e. they do not engage in any collective investment management) will subsequently be classed as IFs rather than AMCs. As such, they must be authorised by the French Prudential Supervisory Authority (ACPR).

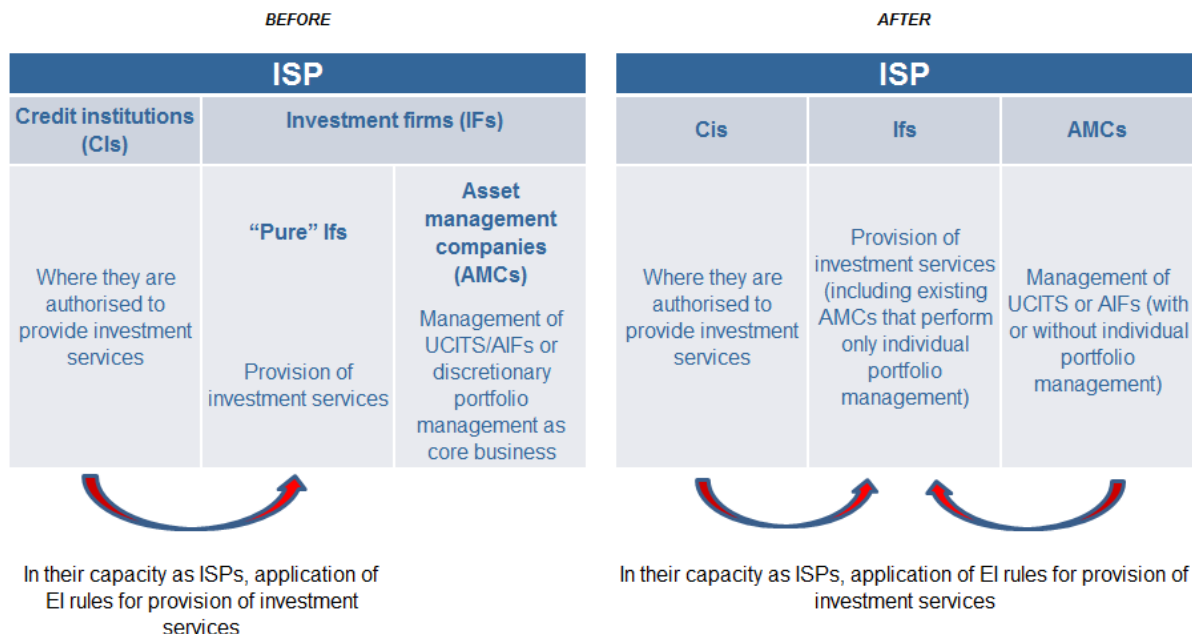
AMCs authorised by the AMF prior to the date of entry into application of the new texts and which, as at said date, perform only a discretionary management business (third-party portfolio management) will no longer, as of said date, be authorised by the AMF.

The ACPR IF authorisation will enable these entities to continue to provide their third-party discretionary portfolio management service (and any other services for which they are currently authorised) in France after the entry into application of MiFID II and to retain the possibility of passporting their business across Europe.

¹⁸ Adjustments can be made as a result of the separation of AMCs and IFs (on transaction reporting for example; see Section 10) or in conjunction with the new MiFID II texts (on checking the expertise of individuals acting on behalf of the AMC, for example; see Section 5).

5. Summary of changes associated with amending the status of AMCs

5.1. AMCs in the investment services provider (ISP) universe: before and after MiFID II



5.2. The asset management activities and investment services authorised for AMCs after MiFID II

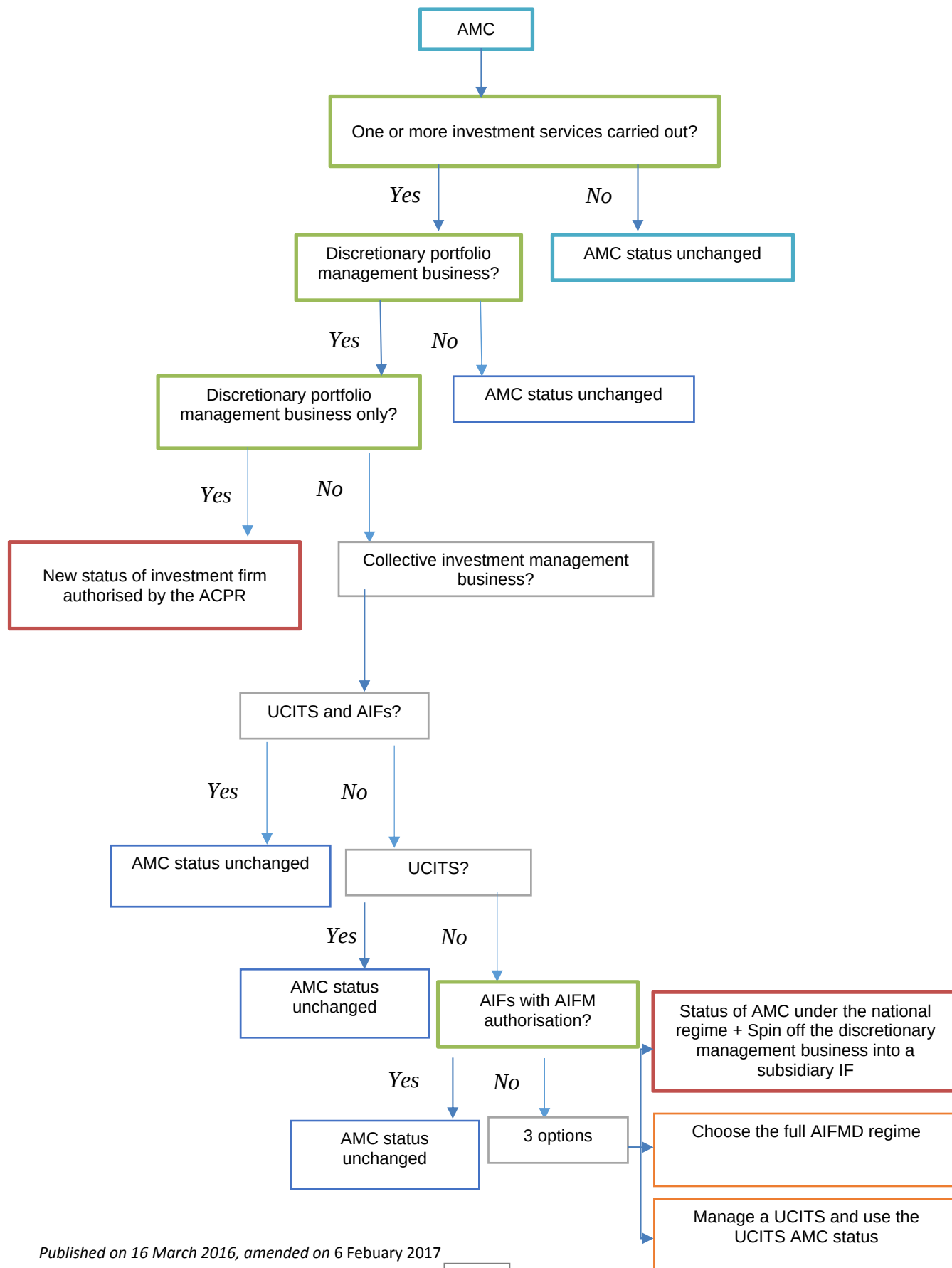
	UCITS-only AMC	AIFM-authorized, AIF-only AMC	UCITS- and AIFM-authorized UCITS and AIF AMC	AMC of UCITS and AIFs (below the thresholds and with no opt-in)	AIF-only AMC (below the thresholds and with no opt-in)
Management of AIFs					
Management of UCITS					
Discretionary portfolio management	Possible	Possible	Possible	Possible	
RTO		Possible	Possible		Possible but cannot be passported
Investment advice	Possible	Possible	Possible	Possible	Possible but cannot be passported
Partially subject to MiFID II under the provision of investment services					National regime (partially subject to AIFM + subject to MiFID II waiver regime for the provision of investment services)

N.B.:

In view of the potentially considerable impact on the organisation of the AMCs concerned (especially those providing discretionary portfolio management and no collective asset management), operators are asked to explain the proposed solutions to their dedicated portfolio manager before 31 March 2017.

Furthermore, given the length of time required to process the most complex cases, files must be presented to the AMF by 30 June 2017.

5.3. IF and AMC status reclassification decision tree



Q&A

Does MiFID II affect an AMC authorised under the UCITS or AIFM directives?

Yes, provided the AMC is also authorised to provide investment services (investment advice and/or third-party portfolio management). In such a case, the AMC will have to apply the rules applicable to these investment services as a result of the transposition of MiFID II¹⁹.

AMCs not authorised to provide investment services are not directly affected by MiFID II.

If an AMC manages AIFs below the €100 million or €500 million thresholds and is currently authorised to provide investment advice only, will it be able to keep providing that service in France after the new texts have entered into application?

Yes. If it has not opted for full application of the AIFMD, this AMC will continue to be able to provide an investment advice service in France under the national exemption regime set forth in Article 3 of MiFID II (this also applies to financial investment advisors and crowdfunding investment advisors). The rules applying to the provision of this service will be the same as for other AMCs that do not qualify for such an exemption regime.

If an AMC manages AIFs below the €100 million or €500 million thresholds and is currently authorised to provide portfolio management, will it be able to keep providing that service after the new texts have entered into application?

Not unless it changes its organisation. There are three possible solutions:

- 1) Opt for full application of the AIFMD measures. In this case, the AMC must request authorisation under the AIFMD from the AMF. Such authorisation will enable the AMC to keep providing its third-party discretionary portfolio management service and to passport this service;
- 2) Spin off the third-party portfolio management service into an IF subsidiary (which will be subject to MiFID II in full);
- 3) Manage a UCITS. In this case, the AMC must request authorisation under the UCITS directive, which will enable it to keep providing its third-party discretionary portfolio management service and to passport this service.

An AMC that is authorised to provide a portfolio management service (and not to manage UCITS or AIFs) will become an IF after the measures arising from the transposition of MiFID II have come into force. Will this company continue to have relations with the AMF?

Yes. Even if the IF authorisation comes from the ACPR, the company's business plan for the portfolio management service must be approved by the AMF. The AMF will ensure that the company adheres to this business plan and to its organisation and conduct rules for investment services, and, if necessary, will punish the company in the event of non-compliance.

¹⁹ By reference to the UCITS IV and AIFM directives.

Section 2 – Product governance

Main reference texts

European laws & regulations	French texts ²⁰
Level 1: Directive 2014/65/EU Articles 16(3) and 24(2)	Articles L. 533-24 and L. 533-24-1 of the Monetary and Financial Code.
Level 2: Delegated Directive of 7 April 2016 Articles 9 and 10	Book III of the AMF's General Regulation (to come)
Level 3: ESMA's proposed product governance guidelines	

Summary

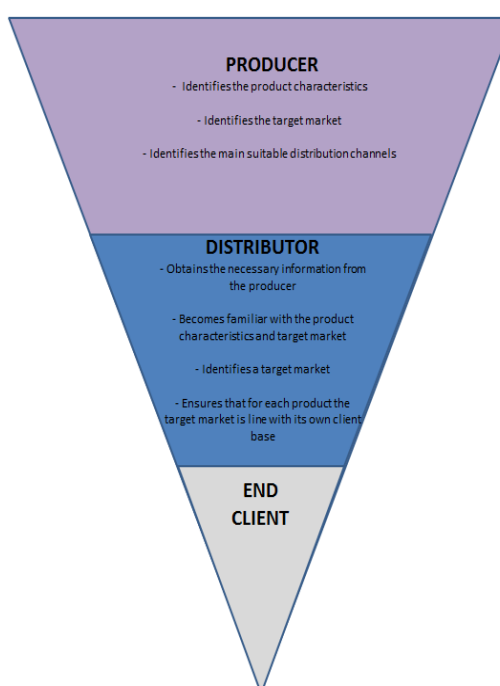
MiFID II contains new obligations relating to the governance of financial instruments. The aim is to provide a clearer definition of the respective responsibilities of producers and distributors by establishing a link between the two main constituents of the distribution chain.

What follows is a non-exhaustive list of elements that aims to inform AMCs without exempting them from consulting new applicable texts, as and when they are published, as well as the entirety of MiFID II and the other sections of this Guide.

If an entity designs financial instruments and is subject to the 'producer' rules of financial instrument governance, it must have a system for validating said instruments, identify a target market and provide distributors with all pertinent information about the financial instruments in question ("producer rules").

The provisions set out by the delegated directive cover:

- analysis of potential conflicts of interest by the producer;
- expertise of the workforce involved in producing financial instruments (they must possess the necessary expertise to understand the characteristics of the securities they aim to produce and the inherent risks thereof), and involvement of the compliance function (overseeing the creation and periodic review of product governance measures) and the management body (checking the governance process);
- instances where the producer designs a product in collaboration with another entity, including a non-MiFID or third-country entity (the need for a written agreement containing shared responsibilities;



²⁰ In the versions applicable as of 3 January 2018.

- identification not only of the target market (based on the theoretical knowledge of the producer and its experience of the specific or similar financial instruments, financial markets and needs, characteristics and objectives of potential end clients), but also a 'negative' target market, i.e. the group(s) of customers whose needs, characteristics and objectives are not compatible with the financial instrument in question;
- analysis of the development scenario for the financial instruments, including assessing the risk of the product delivering poor results for end clients, and the circumstances in which such results may occur;
- consideration of the proposed cost structure for the financial instrument;
- information supplied to the distributors about the financial instrument (appropriate distribution channels, product approval processes and evaluation of the target market) and the quality of such information enabling them to understand and recommend or sell the financial instrument in an appropriate manner;
- regular review of the financial instruments as regards the target clients and identification of events likely to have a major impact on the potential risk or expected return of a financial instrument.

Distributors that are subject to MiFID (since they provide investment services) must have suitable systems for obtaining pertinent information about the financial instruments (including in cases where the producer is not subject to MiFID rules), understanding the characteristics of said instruments and assessing the compatibility of each financial instrument with their clients' needs, particularly with regard to the target market they identify having taken account, where applicable, of the target market identified by the producer ("distributor rules"). The information obtained about the product must be compared with information about the distributor's clients in order to define the target market and distribution strategy.

The distributor must define not only a target market (based on any target market defined by the producer), but also a 'negative' target market, i.e. the group(s) of customers whose needs, characteristics and objectives are not compatible with the product or service in question. The provisions set out by the delegated directive cover:

- information required from the producer, whether or not it is subject to MiFID: this information must provide the distributor with sufficient understanding and knowledge of the products it intends to recommend or sell so that they are distributed in accordance with the needs, characteristics and objectives of the defined target market;
- regular review of the proposed or recommended financial instruments and the services provided, taking into account any event likely to have a major impact on the potential risk for the target market;
- expertise of the marketing workforce (they must possess the necessary expertise to understand the characteristics and risks of the products, as well as the needs, characteristics and objectives of the defined target market), and involvement of the compliance function (overseeing the creation and periodic review of product governance measures) and the management body (checking the governance process);
- provision to the producer of sales information;
- the situation whereby several IFs work together to distribute a product or service (distribution chains): the intermediary companies must ensure that information about the product filters down from the producer to the end distributor and that information about product sales filters back up from the end distributor to the producer.

If the producer is not subject to MiFID II, the distributor is responsible for determining the target market and taking all reasonable steps to obtain from the producer adequate and reliable information enabling it to distribute the products in accordance with the needs, characteristics and objectives of the target market. As regards the provisions of the delegated directive, the distributor can use information published pursuant, for example, to the Prospectus or Transparency directives²¹.

²¹ ESMA's planned guidelines submitted for consultation also cite information published pursuant to the UCITS and AIFM directives.

The regulatory requirements of financial instrument governance thus entail the definition and subsequent monitoring of the following three parameters:

- the characteristics of the financial instrument (level of risk, investment horizon, etc.);
- the target market: the clients for whom the instrument is intended, it being understood that these are end clients within the relevant category of clients (see Recital 71 of the Directive);
- an appropriate distribution strategy for the target market: in particular, the distribution channels that are most suitable for reaching the target market.

The monitoring and adjustment of these three parameters must therefore entail:

- amending, where necessary, the process used to design and validate new products;
- regularly reviewing existing products;
- providing the distributor with necessary information about the process;
- implementing reasonable measures to ensure that the financial instrument is distributed in the identified target market, by the producer if necessary.

Notwithstanding the above, the delegated directive states that operators must conform to these provisions in a suitable and proportionate manner, taking into account the nature of the financial instrument, the investment service and the product's target market. For example, and subject to ESMA's Level 3 work, the scope of determining a target market and respecting it during distribution may vary according to the service provided by the distributor and the resulting responsibilities (e.g. RTO service - whereby the distributor gathers information from the clients about their investment expertise and experience - compared with investment advice service - whereby as well as the above information, the distributor also gathers from clients information about their financial situation and investment objectives).

Moreover, it should be pointed out that applying the new financial instrument governance measures should not call into question:

- the rules for assessing the adequacy and suitability of the investment service or product provided to the client. Rather than replacing this assessment of the adequacy and suitability of the product or service provided to the client, the product governance regime complements the system established by MiFID I with regard to investor protection in order to avoid misselling and unsuitable products being launched;
- the diversification of the client portfolio when required by the client's profile and in compliance with the assessment of the adequacy of any investment advice given;
- the open-architecture distribution model. These new requirements mean that different distribution models can coexist and, therefore, an open-architecture model can still be promoted. Indeed, it is important - and MiFID II is a step in this direction - to make sure that a wide range of financial products remains available.

On 5 October 2016, ESMA published a consultation on guidelines (Level 3 work) concerning financial instrument governance. These proposed guidelines deal primarily with how to determine the target market.

Aspects pertaining to producers

What will be the impact on AMCs?	Level of impact
The MiFID II producer rules apply to entities under MiFID that create, develop, issue or structure financial instruments. Since AMCs are not IFs for the purpose of the Directive, the producer rules should not apply directly to these AMCs. However, the obligations incumbent on distributors may have a significant de facto impact on AMCs if the distribution of the funds they manage entails the provision of investment services that result in the distributor rules being applied (particularly if other ISPs or financial investment advisors²² are used for distribution), especially with regard to disclosure. Consequently, the relationships between AMCs and their distributors are likely to be affected to take into account obligations pertaining to financial instrument governance.	High

Aspects pertaining to distributors

What will be the impact on AMCs?	Level of impact
The distributor rules apply to investment firms that suggest or recommend financial instruments: - by cross-reference to the UCITS and AIFM directives, MiFID II will be applied as soon as an AMC performs an <u>investment service</u>. As such, this concerns AMCs that provide an investment service (such as investment advice or discretionary portfolio management) while distributing their own products or marketing funds managed by third-party asset management companies; - subject to the final texts resulting from MiFID II transposition work, it is envisaged that distributors be submitted, in full or in part of the governance regime, to AMC <u>marketing in France</u> not involving the provision of investment services, which will ensure equivalent protection to AMC clients as part of product subscription in France²³. AMCs that fulfil these criteria will have to implement the new requirements of the Directive and, in particular, understand the characteristics of each instrument, identify the target market and assess the compatibility of the suggested instruments with their clients' needs.	High

²² FIAs and CAs will be subjected to the same requirements as ISPs, particularly as regards the distributor rules concerning the product governance system.

²³ For example, when taking care of a subscription order.

Q&A

How does the idea of the target market sit with the existing client categories from MiFID I?

These are two separate and complementary concepts. The target market of end clients falls within the related client category (see Recital 71 of the Level 1 Directive). The classification of clients as retail clients, professional clients or eligible counterparties cannot therefore be deemed to be sufficient to comply with the measures on defining the target market, since the aim of client classification is to establish different levels of client protection based on their experience, knowledge and ability to make investment decisions and to properly assess the risks involved.

Could the product governance rules have an indirect impact on an AMC that creates a fund solely for distribution by a distributor in a non-EU country for clients based in that country?

No. MiFID II does not require third-country distributors to comply with the product governance rules. In addition, and subject to local laws, the third-country distributor should not be driven, with strict regard to MiFID II, to ask the AMC for information enabling it to identify a target market.

Is the information in the KIID sufficient? And what about the information in the prospectus?

Although the information that appears in the regulatory information documents is useful for the application of financial instrument governance rules, it is not necessarily sufficient. It should nevertheless be pointed out that the future entry into application of the PRIIPS Regulation may shed more light on certain information required to distribute products in that field.

Does the definition of the target market replace the verification of the adequacy and suitability of the product or service provided to the client?

No. As part of providing an investment service to a client, the service provider is subject to the rules on client classification and on the assessment of the adequacy and suitability of the product or service, this being without prejudice to the identified target market of each financial instrument it offers.

How should the product governance rules be applied by an AMC that directly distributes the UCIs it manages?

If the provider performs an investment service (i.e. investment advice or discretionary portfolio management), it is fully subject to the relevant MiFID II rules and therefore to the product governance rules as regards distribution.

Beyond this issue, under MiFID II, obligations such as defining the target market need be performed only once to fulfil the requirements on both the production and distribution sides.

If the products on offer come from producers that are not subject to MiFID II, what are the obligations of distributors subjected to the product governance distributor rules?

For products designed by entities that are not subject to MiFID II, the distributor must obtain sufficient information about the financial instruments for it to fulfil its own obligations, including determining the target market. In the absence of sufficient data, the distributor must contact the producer to obtain the required information before offering or recommending the financial instrument in question, unless this puts it at risk.

Do the MiFID II financial instrument governance rules on distribution apply to an AMC that distributes unit-linked life insurance policies which have as underlying assets UCITS or AIFs managed by said AMC?

No. In this situation, the AMC is subject to insurance mediation rules rather than MiFID II. However, the insurance brokerage rules are now defined in the revised directive on insurance mediation, which contains measures based on the MiFID II system.

How should be deal with the issue of consistency between the client universes identified by the producer and monitored by the distributor? Is the distributor bound by the target market that the producer identifies?

As a general rule, the distributor's more detailed knowledge of end clients, partly obtained through know-your-customer due diligence, makes it able to more accurately assess how well its own target market fits with the financial instrument / target market profile identified by the producer. If the distributor believes that a particular product fits with a target market that is different to the producer's, it should get in touch with the producer to assess whether the producer's target market definition is still appropriate. Lastly, as mentioned earlier, the product governance and identified target market (in particular) obligations need not impede the diversification of a client portfolio.

Do the financial instrument governance rules apply if a product is destined solely for professional clients?

Yes.

Which distributors are likely to ask AMCs for information about the UCITS or AIF it manages?

ISPs, but also FIAs, subject to a similar regime to IFs.

Do the financial instrument governance rules apply if an AMC consults investors in order to assess their appetite prior to launching a fund open to professional investors²⁴?

The financial instrument governance rules need not apply if the AMC neither offers nor recommends investment in a product. However, these rules may apply if the potential client invests in the wake of an appetite test.

²⁴ Under the conditions mentioned in Q&A 1 of AMF Position DOC-2014-04, Guide to UCITS and AIF marketing regimes in France.

Section 3 – “Independent” financial advice

Main reference texts

European laws & regulations	French texts ²⁵
Level 1 Directive 2014/65/EU Articles 24(4) and 24(7)	Article L. 533-12-2 of the Monetary and Financial Code. Decree for the transposition of article 24 (4) (to come)
Level 2: Delegated Directive of 7 April 2016 Article 12 Delegated Regulation of 25 April 2016 Articles 52 and 53	AMF's General Regulation for the transposition of article 12 of the delegated directive (to come)
Level 3 ESMA Q&A (as and when published)	

Summary

MiFID II introduces the notion of investment advice provided on an independent basis and requires investment firms that provide such advice to specify whether or not they are doing so on an independent basis (Article 24(4) of the Directive). If it is providing the advice on an independent basis, the firm must fulfil several criteria regarding how they assess the financial instruments they are likely to recommend and how they charge for their services.

1. Quantity and diversity of products evaluated by the independent advisor

The provider of the independent investment advice service must “assess a sufficient range of financial instruments available on the market which must be sufficiently diverse with regard to their type and issuers or product providers [...] and must not be limited to” those issued by the group (article 24(7) of MiFID II).

The Delegated Regulation of 25 April 2016 contains the obligation to explain to clients, clearly and concisely, how the service fulfils the independence criteria and to provide details of the factors taken into consideration when making the recommendation (risks, costs, complexity, etc.).

The Regulation also states that the number and variety of financial instruments considered should be proportionate to the scope of investment advice services offered. As such, if the investment advice pertains to a niche market with a limited number of products, the advisor should be able to act on an independent basis without assessing a large number of instruments, insofar as the scope of the products in question is representative of the market being approached. However, in such a case, the advisor must:

- market itself in a way that is intended only to attract clients with a preference for the specific instruments it recommends;
- ensure that its clients request advice only about this type of instrument;
- ensure that these instruments are suitable for the clients.

²⁵ In the versions applicable as of 3 January 2018.

Published on 16 March 2016, amended on 6 February 2017

Moreover, Recital 73 of Directive 2014/65/EU states that it is not necessary for the independent advisor to analyse all the instruments of all the issuers in its scope before making a recommendation. However, the IF must never limit its assessment to instruments issued by itself or by an entity to which it is closely linked, where these are equity, economic or contractual links that are strong enough to put at risk the independent basis of the advice provided. Additionally, the Delegated Regulation states that the quantity of instruments issued by the investment firm itself or by entities closely linked to the investment firm must remain proportionate to the total amount of instruments considered. For each type of instrument considered, the advisor must also separate those issued or produced by a non-group entity.

2. Ban on retrocession fees and other monetary and non-monetary benefits

When providing advice on an independent basis, IFs will not be permitted to retain any monetary or non-monetary benefit paid by a third party (article 24(7) of the Directive). If they accept such a benefit, they must transfer it to their client and will be able to bill for advice fees as payment for the service they have provided. The Delegated Directive specifies that all benefits received must be returned in full and as soon as possible to the client. Moreover, the advisor must implement a policy to ensure that such payment has been made and inform the client about fees, commissions or any monetary benefits transferred to them, by way of periodic reporting statements where appropriate. On the other hand, when providing advice on a non-independent basis, IFs will still be allowed to accept retrocession fees and any other kind of monetary or non-monetary benefit (subject to certain conditions laid down in Section 9 of this Guide).

By way of exemption, independent advisors are permitted to retain minor non-monetary benefits provided they are: (i) capable of enhancing the quality of service provided to a client; (ii) sufficiently low to ensure that the service provider acts in the client's best interest; and (iii) clearly disclosed to the client. Section 9 provides more detail on the criteria for receiving minor non-monetary benefits.

3. What happens in the case of an entity providing both independent and non-independent advice?

The Delegated Regulation of 25 April 2016 specifies that a single entity can offer both independent and non-independent advice. However, it cannot market itself as an independent investment advisor for the overall activity nor give undue prominence to its independent investment advice services over its non-independent investment advice services.

The service provider must also inform the client, before the provision of its services, whether the advice will be independent or non-independent, and prove it has adequate controls for ensuring the separation of its independent and non-independent advice businesses.

The Delegated Regulation also provides that a single natural person cannot provide both independent and non-independent advice on behalf of his/her employer.

What will be the impact on AMCs?	Level of impact
AMCs that use third parties to distribute the funds they manage will not be required to ensure that distributors purporting to be independent do indeed fulfil the criteria for being able to claim that they offer such a service.	None
As part of their direct distribution business, AMCs will have to inform their clients if any investment advice is given on an independent basis. The introduction of the concept of independent investment advice is likely to have little impact on the business of AMCs that prefer to distribute their own products.	Moderate

Q&A

Can advice about a single product or only about group products be classified as independent?

The number of products analysed by the service provider must be proportionate to the target investment universe. The concept of independence is assessed well before the advice is actually given, while the products available from the investment universe in which the service provider is authorised to operate are being evaluated.

Moreover, the service provider is under no obligation to present a large number of financial instruments; it must simply, prior to carrying out the service, assess a wide range of products and present its findings to the client. Its advice may relate to just a single financial instrument. If the advice mainly or exclusively recommends group products, it may still be classified as independent if the advisor can prove it fulfils the criteria mentioned above. Lastly, regardless of whether the advice is independent, the advisor must explain to the client any relationship it has with the producers of instruments that might be recommended.

Can an AMC authorised to both provide investment advice and market third-party UCIs²⁶ market itself as an independent investment advisor?

Yes, provided it complies with all the restrictions associated with independent advice.

Can an AMC that markets its own products be classed as an independent investment advisor?

Yes, provided that the AMC has the appropriate authorisation to provide investment advice services and complies with all the obligations incumbent upon independent advisors. In particular, its own shares of collective investments must not account for a significant share of all the products it assesses as part of its independent advice service.

Moreover, the AMF notes that ESMA published its first Q&A on this issue on 10 October 2016²⁷.

²⁶ UCIs managed by another AMC.

²⁷ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Section 4 – Client information

Main reference texts

European texts	French texts ²⁸
Level 1 Directive 2014/65/EU Articles 24(3) and 24(4)	Article L. 533-12 of the Monetary and Financial Code Decree for the transposition of article 24(4) (to come)
Level 2 Delegated Regulation of 25 April 2016 Articles 44 to 52 and 59 to 63	N/A

This section deals with client disclosure obligations incumbent upon Ifs (excluding those pertaining to reports on services provided, which are covered in Section 8).

Summary

1. Upholding the principle of client disclosure

Just like its previous incarnation, MiFID II requires:

- that all information (including promotional communications) sent out to the client by the IF be clear, accurate and reliable;
- disclosure to the client regarding the IF and its services, the financial instruments and proposed investment strategies, the execution venues and all costs and related charges. Similarly, this information will be provided in a comprehensible form and will enable clients to reasonably understand the nature of the investment service and of the specific type of financial instrument that is being offered, as well as the associated risks, and, consequently, to take investment decisions on an informed basis.

2. Changes

2.1. Where investment advice is provided

When investment advice is provided, the IF must, in good time before it provides investment advice, inform the client:

- (i) whether or not the advice is provided on an independent basis (see Section 3);
- (ii) whether the advice is based on a broad or on a more restricted analysis of different types of financial instruments and, in particular, whether the range is limited to financial instruments issued or provided by entities having close links with the investment firm or any other legal or economic relationships, such as contractual relationships, so close as to pose a risk of impairing the independent basis of the advice provided;

²⁸ In the versions applicable as of 3 January 2018.

Published on 16 March 2016, amended on 6 February 2017

- (iii) whether the investment firm will provide the client with a periodic assessment of the suitability of the financial instruments recommended to that client.

The IF that provides such a periodic assessment must communicate its frequency and scope and, where applicable, the situations giving rise to said assessment, the extent to which information gathered previously is re-evaluated, and how the updated recommendation is to be sent to the client.

2.2. Financial instruments and proposed investment strategies

The information on financial instruments and proposed investment strategies must specify whether the financial instrument is intended for retail or professional clients, taking account of the identified target market (see Section 2). As regards the description of financial instrument risk (which also featured in MiFID I), article 48 of the Delegated Regulation adds new items such as information on impediments or restrictions for disinvestment (such as may be the case for illiquid financial instruments or financial instruments with a fixed investment term), including an illustration of the possible exit methods and consequences of any exit, possible constraints and the estimated time frame for the sale of the financial instrument before recovering the initial costs of the transaction in that type of financial instrument. The IF should provide this information to existing or potential clients in good time before the provision of investment or ancillary services.

2.3. Information on costs and associated charges

- (i) A combined disclosure obligation for the cost of investment services and the cost of financial instruments, as well how the client can pay

The information on costs and associated charges is described in Level 1 of MiFID II: it must be communicated in good time to existing or potential clients and include information relating to both investment and ancillary services, including the cost of advice, where relevant, the cost of the financial instrument recommended or marketed to the client and how the client may pay for it, also encompassing any third-party payment. It is also stated that the information about all costs and charges, including costs and charges in connection with the investment service and the financial instrument, which are not caused by the occurrence of underlying market risk, shall be aggregated to allow the client to understand the overall cost as well as the cumulative effect on return of the investment, and where the client so requests, an itemised breakdown shall be provided.

- (ii) Ex-ante and ex-post disclosure

The Delegated Regulation states that the *ex-ante* client disclosure must be based on actual costs or, failing that, reasonable estimates.

Full *ex-ante* disclosure (on the costs and charges associated with both the financial instrument and the service provided) is required where advice is provided or where instruments are marketed that require the client to be supplied with a KIID (UCITS or PRIIPS). In other cases, client disclosure pertains to the costs and charges related to the service provided.

Ex-post disclosure should be provided annually and concerns all costs and charges associated with financial instruments and investment and related services, whether the IF has recommended or marketed these instruments or has provided the client with a KIID and has, or had, an ongoing relationship with the client over the course of the year. This *ex-post* disclosure is based on actual costs and provided on a personalised basis.

The Delegated Regulation also provides that said *ex-ante* disclosure is provided both as a cash amount and as a percentage.

(iii) Very broad disclosure on costs and charges

The Delegated Regulation provides that this information includes the direct and indirect costs of the service and the financial instruments, as well as the costs of managing and producing the financial instruments.

(i) Possibility of limited disclosure with professional clients or eligible counterparties

The Delegated Regulation enables IFs that provide investment services to professional clients to reach an agreement with said clients whereby the disclosure obligations for costs and charges are limited. This option is not available to IFs if they provide an investment advice or third-party portfolio management service or, regardless of the service provided, if the financial instruments concerned have an embedded derivative.

A similar option is available with eligible counterparties, except where the financial instruments concerned have an embedded derivative and the counterparties intend to offer them to their clients.

2.4. Where a third-party portfolio management service is provided

The IF that provides the third-party portfolio management (or discretionary management) service must inform its client if the total value of the portfolio (as measured at the beginning of each reporting period) has fallen by 10%. This obligation also applies upon successive falls of 10%.

If the IF has recourse to the research account (see Section 13 below) as part of the discretionary management service, it must provide certain information:

- before providing an investment service to its clients, information about the expected research budget and the estimated charges for each client;
- annual (*ex-post*) information on the total costs incurred by each of them for third-party research.

What will be the impact on AMCs?	Level of impact
Although MiFID II broadly continues with the principle of client disclosure laid down in MiFID I, it goes even further in terms of the details of firms' obligations, particularly regarding the costs and charges associated with the proposed services. These new obligations will concern AMCs that provide investment services to their clients (e.g. for discretionary management, client disclosure should the value of the portfolio depreciate by 10% and multiples of 10% thereafter). They will also be indirectly affected as producers of financial instruments, since they will be required to provide sufficient information to the firms subject to MiFID II with which they have a business relationship.	High

Frequently asked question

Will the distributor's disclosure obligations with regard to cost and charges be covered by the information that appears in the KIID?

No, the KIID for UCITS does not contain all the information required by MiFID II, particularly with regard to the cost of transactions.

It should nevertheless be pointed out that the future entry into application of the PRIIPS Regulation may shed more light on certain information required to distribute products that fall within its scope.

In addition, the AMF notes again that on 16 December 2016, ESMA published its first Q&A on client disclosure obligations when the value of the portfolio depreciates by 10%.

Section 5 – Verification of the knowledge and competence of staff providing investment advice or information on financial instruments and services

Main reference texts

European laws & regulations	French texts ²⁹
Level 1 Directive 2014/65/EU Article 25(1)	Article L. 533-12-6 of the Monetary and Financial Code.
Level 3 ESMA guidelines for the assessment of knowledge and competence ³⁰	

Summary

MiFID II requires IFs to ensure and demonstrate to competent authorities on request that natural persons giving investment advice or information about financial instruments, investment services or ancillary services to clients on behalf of the investment firm possess the necessary knowledge and competence to fulfil their obligations under article 24 of the Directive. If the services are carried out under the freedom of establishment in a country other than the IF's state of origin, the host country's authorities will be responsible for checking that the IF complies with these measures.

In addition, MiFID II requires Member States to define and publish the criteria used for assessing the knowledge and competence of the people in question.

Lastly, pursuant to article 25(9), ESMA guidelines published on 22 March 2016 specify criteria for this assessment of knowledge and competence.

What will be the impact on AMCs?	Level of impact
AMCs authorised to provide investment services (investment advice, third-party discretionary portfolio management services or, where applicable, RTO services) will have to ensure that the natural persons who provide investment advice or information about financial instruments, investment services or related services on behalf of the AMC have the necessary knowledge and competence to fulfil their investor protection obligations.	Moderate
French AMCs that have passported the provision of investment services under the freedom of establishment will have to comply with the host country's rules on checking the knowledge and competence of the natural persons who provide on their behalf investment advice or information about financial instruments, investment services or ancillary services to clients.	High

²⁹ In the versions applicable as of 3 January 2018.

³⁰ https://www.esma.europa.eu/sites/default/files/library/2015-1886_fr.pdf

Q&A

Will AMCs be required to check the knowledge and competence of certain natural persons?

These measures concern AMCs that provide investment services.

However, under current French law, for certain functions defined by the AMF's General Regulation (Article 313-7-1, paragraph II), the investment services provider must check that people possess certain knowledge established by the AMF further to an opinion of the Financial Skills Certification Board. Article 313-7-3 of the General Regulation states that the AMF shall determine and publish the content of this minimum knowledge.

These functions include that of sales person, which is defined as any natural person responsible for informing or advising the clients of the investment services provider under whose authority or on whose behalf he is acting, with a view to conducting transactions in financial instruments.

The checks on whether the sales person possesses the required knowledge can be performed either directly by the investment services provider or by taking an examination certified by the AMF.

As such, although the current system under French law may be adapted, particularly in relation to the ESMA guidelines, the entry into application of the new MiFID II measures should not have any effect on the present obligations.

Who are the natural persons affected by the new MiFID II requirements on checking knowledge and competence?

The natural persons concerned are those who provide investment advice or information about financial instruments, investment services or related services to clients on behalf of the AMC. These may be employees of the firm, its executives or, where applicable, the door-to-door sales representatives³¹ or commissions.

Will the French measures resulting from MiFID II on checking the knowledge and competence of natural persons who advise or provide information to clients apply to employees working at a foreign branch?

No. Branches set up by French AMCs in other Member States will be subject to their host country's rules on persons who advise or provide information to clients.

³¹ Door-to-door banking and financial representatives cannot be commissioned to provide investment services (including investment advice).

Section 6 - Assessment of the suitability and appropriateness of the products or services provided to clients

Main reference texts

European laws & regulations	French texts ³²
Level 1 Directive 2014/65/EU Article 25(2 to 4)	Article L. 533-13 I and II of the Monetary and Financial Code.
Level 2 Delegated Regulation of 25 April 2016 Articles 54 to 57	N/A
Level 3 ESMA Q&A (as and when published)	

Summary

Before an investment service is provided, the provider needs to gather information from the client in order to ensure the suitability or appropriateness of the financial instrument or service in question.

1. General information on checking the suitability or appropriateness of the service

In particular, pursuant to MiFID I:

- before providing investment advice or portfolio management services to a client, an investment firm must obtain the necessary information regarding the client's knowledge and experience, his financial situation and his investment objectives so as to enable the firm to manage the client's portfolio or recommend to him financial instruments in a suitable manner. This is known as the suitability test;
- before providing another investment service³³ to a client, an investment firm must obtain information about the client's knowledge and experience in the investment field so as to enable the firm to assess whether the service or financial instrument suggested to or requested by the client is appropriate for him (appropriateness test).

MiFID II retains these measures but specifies that:

- the information about the client's financial situation must include "his ability to bear losses";
- the information about the client's investment objectives must include "his risk tolerance".

Moreover, MiFID II states that where an IF provides investment advice recommending a bundled package of services or products, the overall bundled package must be suitable for the client.

³² In the versions applicable as of 3 January 2018.

³³ Subject to the "simple execution" service, see Section 7.

2. Focus on the periodic assessment of the suitability of the recommended financial instruments

MiFID II obliges the IF, in good time before providing an investment advice service, to inform clients whether it will provide them with a periodic assessment of the suitability of the financial instruments it recommends to them (see Section 4). The Delegated Regulation specifies that such an assessment should take place at least annually, with its frequency increased according to the risk profile of the client and the type of financial instruments recommended.

This periodic assessment also serves as a criterion for justifying the inducements received for the duration of the investment (see Section 9).

What will be the impact on AMCs?	Level of impact
Investment advice and portfolio management for third parties When they obtain information about their clients' knowledge, AMCs that are authorised to provide investment advice or third-party portfolio management services will have to obtain specific information about their clients' risk tolerance and ability to bear losses.	Moderate
Investment advice If it provides investment advice recommending a bundled package of services or products, the AMC will have to ensure that the overall bundled package is suitable for the client.	Moderate
Periodic assessment of the suitability of the recommended financial instruments Where an investment advice service is provided, the AMC must specify to the client whether it will periodically check that the recommended financial instruments are still suitable. "Long-term advice" is not a new concept for operators providing an advice service where they receive inducements over time (see AMF Position-Recommendation DOC-2013-10).	Moderate

Q&A

Will AMCs have to review their client knowledge surveys and the processes they use to check the suitability and appropriateness of the financial instruments and investment services they provide to their clients?

These measures concern AMCs that provide investment services.

The client knowledge surveys will have to be supplemented in the wake of these new measures.

Is the producer or the distributor responsible for conducting the suitability or appropriateness test for the end client?

There is no change from the existing regulations. As regards the end client, this obligation is incumbent upon the distributor that provides the investment service, whether this is an IF, an AMC, a financial investment advisor, etc.

In addition, the AMF notes that, on 10 October 2016, ESMA published its first Q&A on the measures an IF should take if a client wishes to proceed with an unsuitable transaction and on whether suitability can be assessed if the client is unwilling to fully disclose information on his/her financial situation³⁴.

³⁴ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Section 7 – Complex or non-complex nature, as described in MiFID II, of units or shares of UCITS and AIFs

Main reference texts

European laws & regulations	French texts ³⁵
Level 1 Directive 2014/65/EU Article 25(4)	Article L. 533-13 III of the Monetary and Financial Code. Decree listing non-complex financial instruments (to come)
Level 2 Delegated Regulation of 25 April 2016 Article 57	N/A
Level 3 ESMA - Guidelines on complex debt instruments and structured deposits (04/02/2016 - ESMA/2015/1787 FR) ³⁶	

Summary

For third-party order execution and RTO services, MiFID I does not require IFs to assess the client's level of knowledge and experience, provided that the service in question fulfils certain criteria relating to the financial instruments in question, the information provided to the client and retained by the service provider, and the way in which the relationship with the client begins.

MiFID II takes this measure governing the so-called "simple execution" service and modifies it in parts:

- like under MiFID I, only order execution and RTO services can be affected. The provider of the investment advice service will not be able to benefit from the more favourable system and must still check that the product is suitable;
- like under MiFID I, various conditions apply, such as the one requiring the service to be provided at the initiative of the client.

However, MiFID II significantly modifies the criteria for determining the eligibility of financial instruments. As such, MiFID II considers the following products to be non-complex:

- UCITS (except structured UCITS);
- shares admitted to trading on a regulated market (except AIFs);
- bonds admitted to trading on a regulated market*;
- most money-market instruments;
- most structured deposits*.

³⁵ In the versions applicable as of 3 January 2018.

The other instruments can thus be considered as complex, including and *a fortiori* units or shares of structured UCITS and AIFs. Indeed, even though the Level 2 texts set criteria for defining a non-complex instrument, the fact that Level 1 of the Directive explicitly classifies non-UCITS collective investment entities as complex instruments could mean that AIFs and structured UCITS are not eligible for simple execution rules.

This means that units or shares of structured UCITS or AIFs classified as complex in this way may therefore no longer be distributed under simple execution. As such, they would have to be subject to investment advice or, in the case of third-party order execution or RTO services, an appropriateness test. In the interests of a level playing field, this crucial question for the industry should be definitively resolved at European level as soon as possible.

**On 4 February 2016, ESMA published guidelines stating the criteria for assessing the complexity of debt instruments and structured deposits that must be excluded from the simple-execution regime. The AMF has chosen to adhere to these guidelines.*

What will be the impact on AMCs?	Level of impact
Certain funds (structured UCITS and AIFs) may no longer be eligible for the “simple execution” regime. This means that: - AMCs that distribute these funds directly would have to assess the appropriateness of the service they provide to their clients or give investment advice to their clients; - the funds in question which were previously distributed on simple-execution platforms may no longer be.	High

Frequently asked question

Will AIFs available to retail investors be able to benefit from the simple-execution regime after the MiFID II texts have entered into application?

No, provided there is a firm position retained at European level. All AIFs, including those available to retail investors, would appear to be excluded from non-complex financial instruments, meaning that they cannot benefit from the simple-execution regime. When they are marketed, they should be subject to investment advice or, in the case of third-party order execution or RTO services, an appropriateness test.

Section 8 – Reports on services provided

Main reference texts

European laws & regulations	French texts ³⁷
Level 1 Directive 2014/65/EU Article 25(6)	Article L. 533-15 of the Monetary and Financial Code Decree (to come)
Level 2 Delegated Regulation of 25 April 2016 Articles 59 to 63	N/A
Level 3 ESMA Q&A (as and when published)	

Summary

IFs offering investment services must currently provide their clients with “adequate reports” on the service provided. This requirement is upheld and specified in MiFID II. Those reports to clients shall include periodic communications, the frequency of which depends on the type and the complexity of financial instruments involved and the nature of the service provided to the client.

Where **investment advice** is provided, MiFID II also requires the investment firm to provide retail clients with a statement on suitability in a durable medium before the transaction is made.

This statement on suitability must, according to the Level 1 Directive, specify “the advice given and how that advice meets the preferences, objectives and other characteristics of the retail client”. In this regard, the Delegated Regulation specifies that such justification must take account of “the investment term required, client's knowledge and experience and client's attitude to risk and capacity for loss”.

The Delegated Regulation further specifies that this statement on suitability must indicate whether the recommended services or instruments are likely to require the retail client to seek a periodic review of their arrangements.

As an exception, the statement on suitability can be provided immediately after the conclusion of the transaction “where the agreement to buy or sell a financial instrument is concluded using a means of distance communication which prevents the prior delivery of the suitability statement [...]”. This measure refers in particular to online advice and is valid only if the client has consented to receiving the statement after the conclusion of the transaction and if the investment firm has given the client the option of delaying the transaction in order to receive the statement in advance.

Where a **third-party portfolio management service** is provided, MiFID II upholds the principles of MiFID I regarding the obligation to provide to the client in a durable medium a periodic statement of portfolio management activities (see article 60 of the Delegated Regulation). There are, however, two changes that need to be underlined:

³⁷ In the versions applicable as of 3 January 2018.

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- whereas under MiFID I, the standardised nature of the content and frequency of the periodic statement applied only to retail clients, it shall now apply both to retail and non-retail clients (this extension to professional clients also concerns the disclosure obligations relating to the execution of orders other than for portfolio management; see article 59 of the Delegated Regulation);
- the frequency of this periodic statement was, in principle, six-monthly, but it will now be, again in principle, quarterly. Exceptions to this frequency still include the case where the client has chosen to receive information about executed transactions on a transaction-by-transaction basis (periodic statement issued at last annually)³⁸ and the case where the service agreement authorises a leveraged portfolio (periodic statement issued at least once a month); the exceptions also now include the case where the IF provides its clients with access to an online system, which qualifies as a durable medium, where up-to-date valuations of the client's portfolio can be accessed and where the client can easily access the information required by article 63(2) of the Delegated Regulation and the firm has evidence that the client has accessed a valuation of their portfolio at least once during the relevant quarter.

What will be the impact on AMCs?	Level of impact
AMCs will have to provide their clients with adequate reports on the services they offer (investment advice, third-party discretionary portfolio management, etc.) in a durable medium, containing periodic communications, the frequency of which shall depend on the type and the complexity of financial instruments involved and the nature of the service provided to the client., and, where applicable, the costs associated with the transactions carried out and the services provided to the client. The specific disclosure obligations pertaining to third-party portfolio management and the execution of orders other than for third-party portfolio management that applied to retail clients under MiFID I will now apply also to professional clients.	High
AMCs that provide investment advice to retail clients will have to provide said client with a suitability statement in principle before the transaction is made (or immediately after in the case of distance selling with the client's consent).	High

Q&A

On 10 October 2016, ESMA published its first Q&A on the suitability report³⁹.

³⁸ Except in the case of transactions involving certain types of financial instrument, as per MiFID I.

³⁹ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Section 9 – Benefits and fees

Main reference texts

European laws & regulations	French texts ⁴⁰
Level 1 Directive 2014/65/EU Articles 24(8) and 24(9)	Articles L. 533-12-3 and L. 533-12-4 of the Monetary and Financial Code.
Level 2 Delegated Directive of 7 April 2016 Articles 11 and 12	Book III of the AMF's General Regulation (to come)

Summary

MiFID II consolidates the existing regime on fees and inducements paid, provided or received in connection with the provision of an investment service or a related service⁴¹.

1. Benefits and fees for the provision of independent investment advice and third-party discretionary portfolio management services

1.1. A ban, in principle, on inducements...

Investment firms are now expressly forbidden in the following two situations to accept and retain fees, commissions and non-monetary benefits paid or provided by any third party or a person acting on behalf of a third party in relation to the provision of the service to clients:

- where the IF informs the client that the investment advice is being provided on an independent basis (see also Section 3);
- where the IF provides the client with a third-party discretionary portfolio management service.

1.2. ...except for minor non-monetary benefits

However, MiFID II excludes from this ban minor non-monetary benefits that are capable of enhancing the quality of service provided to the client. The Delegated Directive clarifies which non-monetary benefits can be considered as minor: These are:

- information or documentation relating to a financial instrument or an investment service;
- participation in conferences, seminars and other training events on the benefits and features of a specific financial instrument or an investment service;
- hospitality of a reasonable *de minimis* value, such as food and drink during a business meeting or a conference, seminar or other training events mentioned under point (c);

⁴⁰ In the versions applicable as of 3 January 2018.

⁴¹ This does not affect the rules on benefits and fees under the sector-based UCITS and AIFM directives.

- other minor non-monetary benefits which a Member State deems capable of enhancing the quality of service provided to a client and, having regard to the total level of benefits provided by one entity or group of entities, are of a scale and nature that are unlikely to impair compliance with an investment firm's duty to act in the best interest of the client.

Generally, minor non-monetary benefits must be reasonable and proportionate, of such a scale that they are unlikely to influence the investment firm's behaviour in any way that is detrimental to the interests of the relevant client, and disclosed to the client (at least in a generic way).

2. Benefits and fees in other cases

2.1. Similar principles to MiFID I...

Investment firms remain allowed (outside of the provision of third-party discretionary portfolio management services and independent investment advice) to accept and retain fees, commissions and benefits paid or provided by any third party or a person acting on behalf of a third party in relation to the provision of the service to clients, strictly subject to the following conditions:

- these payments or benefits enhance the quality of service to the client;
- they do not impair compliance with the investment firm's duty to act honestly, fairly and professionally in accordance with the best interest of its clients;
- the existence, nature, amount and calculation method of these payments or benefits is clearly disclosed to the client prior to the provision of the service.

2.2. ...supplemented by the Delegated Directive

The above conditions under MiFID I have been supplemented by the Delegated Directive. As such, a fee, commission or non-monetary benefit shall be considered to be designed to enhance the quality of the relevant service to the client if all of the following conditions are met:

- an additional or higher-level service is offered to the client, proportional to the level of inducements received;
- there is no direct benefit to the recipient firm, its shareholders or employees without tangible benefit to the client;
- an ongoing benefit is provided to the client in relation to an ongoing inducement.

In addition, the IF must be able to prove that any payments and benefits received are designed to enhance service quality by keeping a record of all the fees, commissions and benefits received, how these enhance the quality of the service provided to the relevant clients, and the steps taken to comply with the firm's duty to act in the best interests of its clients.

The IF is obliged to disclose to the client, prior to the provision of the relevant service, information on the payment or benefit concerned (generic information is sufficient for minor non-monetary benefits). If it is not possible, in view of the nature of the benefit, fee or commission in question, to indicate the amount prior to provision of the service, its method of calculation must be presented *ex ante* and disclosure on the amount must be provided *ex post*. As long as ongoing inducements are received, disclosure to the client must take place at least annually.

Lastly, in a distribution chain, each IF providing an investment or ancillary service shall comply with its obligations to make disclosures to its clients.

2.3. Enhancing the quality of the service provided to the client

The Delegated Directive contains a non-exhaustive list of additional or higher-level services that can be provided to clients and justify inducements, such as:

- the provision of access, at a competitive price, to a wide range of financial instruments, including an appropriate number of instruments having no close links with the distributor, together with the provision of added-value tools;
- as part of non-independent advice:
 - o the provision of access to a wide range of suitable financial instruments, including an appropriate number of instruments having no close links with the distributor;
 - o an assessment, at least once a year, of the continuing suitability of the financial instruments recommended or the provision of another added-value ongoing service (asset allocation advice, etc.).

In all cases, the texts stress the importance of a fair balance between the payment or benefit received and the enhancement of the quality of service provided to the client.

What will be the impact on AMCs?	Level of impact
AMCs will be banned from retaining inducements: - received as part of their discretionary third-party portfolio management investment service; - received as part of their investment advice service, provided they have informed their clients they are providing the advice on an independent basis. This ban covers both new individual mandates agreed from 3 January 2018 onwards and existing mandates managed as at said date.	High
In other situations (i.e. excluding discretionary portfolio management and independent advice): enhancement of the service provided to the client, including ongoing provision in the case of payment over time. In view of the examples set out in the Delegated Directive, the practices of operators should not be fundamentally questioned provided they already comply with the provisions laid down in AMF Position-Recommendation DOC-2013-10.	Moderate
Minor non-monetary benefits are permitted in all cases.	Low

Q&A

Will an AMC still be able to receive commissions on UCI assets as part of the investment mandates it manages?

Retaining (rather than merely receiving) such retrocession fees will be banned outright within the management of investment mandates.

As at 31 December 2014, these fees accounted for €296 million (2.4%) of AMCs' total revenues of almost €12.5 billion. However, within this low average share there are considerable disparities, meaning that in some cases the business model may need to be changed (retrocession fees paid back, management charges increased, etc.).

Will an AMC that provides a portfolio management service be able to offset the retrocession fees it receives with the charges it bills to its clients?

No. If the AMC accepts retrocession fees from third parties, it will have to pass them on to the client as soon as possible.

What determines whether a non-monetary benefit is reasonable and proportionate?

Receptions, ceremonies and gifts should not be excessive (e.g. a seminar in an exotic location, a trip, etc.). However, AMC's are permitted to accept invitations to seminars and meetings involving a meal or drinks where the aim is to present a financial instrument or investment service in an ordinary environment. More generally, the benefit must not be sufficient as to be likely to influence the AMC's decisions.

Will an AMC that has its funds distributed by a third-party distributor be required to check, if it pays retrocession fees to the distributor, that the investment advice of the distributor is not provided on an independent basis and that the service provided to the client is being enhanced?

No. The investment services provider is responsible for ensuring compliance with regard to independent advice and benefits and fees.

Section 10 – Best execution, best selection and reporting

Main reference texts

European laws & regulations	French texts ⁴²
Level 1 Directive 2014/65/EU Articles 24(1) and 27 Regulation (EU) No 600/2014 Article 26	Articles L. 533-11, L. 533-18, L. 533-18-1 and L. 533-18-2 of the Monetary and Financial Code.
Level 2 Delegated Regulation of 25 April 2016 Articles 64 to 66	N/A
Level 3 ESMA Q&A (as and when published)	

Summary

1. Best execution and best selection

Under MiFID I, investment firms are responsible for meeting “best selection” and “best execution” requirements.

The “best selection” obligation, taken from the general principle under MiFID I of acting in the client’s best interest, applies to discretionary third-party portfolio management and RTO services whereby the IF transmits the order to other entities for execution.

The “best execution” obligation, on the other hand, applies to the third-party order execution service. MiFID II requires the service providers that execute the orders to make public, for each class of financial instruments, information on the top five execution venues used (in terms of trading volumes) and the execution quality of those venues.

The Delegated Regulation specifies the information that must be provided in order to comply with the “best selection” obligation for IFs that provide third-party portfolio management and RTO services. In the interests of greater clarity, AMCs that provide these services must, for each class of financial instruments, make public information on the top five intermediaries chosen (in terms of trading volumes) and the execution quality of those intermediaries based, among other things, on new information about the execution quality published by said intermediaries (see paragraph above).

The Delegated Regulation also underlines the obligation to obtain the best possible result for the client during order execution, requesting that authorised service providers strengthen their resources and take all “sufficient” (no longer “reasonable”) steps in this regard.

⁴² In the versions applicable as of 3 January 2018.

Published on 16 March 2016, amended on 6 February 2017

What will be the impact on AMCs?	Level of impact
AMCs that provide RTO services will be subject to the MiFID II "best selection" measures for this activity.	Moderate
AMCs that provide third-party portfolio management services will be subject, for this activity, to the MiFID II measures on: - "best selection" if they do not execute the orders as part of this activity (they shall not, on the other hand, be affected by the new "best execution" measures); - "best execution" if they themselves execute transaction decisions on behalf of the client.	Moderate
For their UCITS or AIF management activities, AMCs will remain subject to the measures that are currently in force (in application of the implementing texts of the UCITS and AIFM directives).	None

2. Transaction reporting

MiFIR consolidates the transaction reporting system laid down in MiFID I. In particular, MiFIR standardises statement formats and enriches reporting by providing further precision on the transactions declared to the regulator.

As part of MiFID I transposition work, pursuant to Articles 315-46 to 315-48 of the AMF's General Regulation and the AMF instruction DOC-2007-06, it was decided that all AMCs would be subject to transaction reporting obligations in their capacity as ISPs.

What will be the impact on AMCs?	Level of impact
Under MiFID II and with a view to faithful transposition, the transaction reporting obligation will be applied only to investment firms as defined in MiFID II. As such, AMCs will no longer be subject to the transaction reporting obligation, even if they provide a third-party portfolio management (discretionary management) service.	None
On the other hand, AMCs that perform only a discretionary asset management business (third-party portfolio management) and will be classified solely as investment firms will be subject to the reporting obligation.	High

Q&A

On 10 October 2016, ESMA published its first Q&A on this topic⁴³.

⁴³ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Section 11 – Market structure and transparency

Main reference texts

European laws & regulations	French texts ⁴⁴
Level 1 Regulation (EU) No 600/2014	N/A
Level 2 Delegated Regulation of 18 May 2016	N/A

Summary

MiFIR makes provision for an obligation to trade shares on multilateral platforms such as a regulated market or a multilateral trading facility, or bilateral platforms via the services of a systematic internaliser. The characteristics of over-the-counter (OTC) trades of shares are now strictly defined and should be memorable. A transaction involving shares cannot be performed over the counter only if it is “irregular, infrequent and non-systematic” or if it is carried out by professionals or eligible counterparties and is not part of price formation. This latter type, which includes so-called “technical” transactions, i.e. those where the price is not determined directly by the market, still needs to be defined as part of ESMA’s technical standards. This trading obligation should also put a stop to broker crossing networks, the opaque execution venues operated by certain banks that were able to develop under MiFID I.

Under MiFID, transparency means partly the real-time publication by trading venues of the prices and volumes of buying and selling interests (pre-trade transparency) and partly the real-time publication by trading venues and investment firms of the volumes and prices of their transactions (post-trade transparency). There are, however, waivers from these obligations, particularly for illiquid financial instruments or large orders. “Pre-trade waiver” indicates a lack of pre-trade transparency while “post-trade waiver” means authorisation to publish transactions in a different way.

Although the four cases of pre-trade transparency waiver have been retained, the pre- and post-trade transparency obligations have been consolidated and extended from shares to equity instruments, notably ETFs. In addition, a waiver cap has been put in place. There will be a limit on the volume of transactions that can be executed under certain waivers (Article 5 of MiFIR).

Moreover, MiFIR also contains a transparency regime for instruments other than shares and equity instruments, i.e. derivatives, bonds, structured finance products and emission allowances, traded on platforms. For derivatives subject to the clearing obligation and deemed to be sufficiently liquid, this system is supplemented by a platform trading obligation, in line with the G-20 objectives to direct a greater share of derivative trades to regulated platforms.

What will be the impact on AMCs?	Level of impact
AMCs are not subject to these transparency obligations, which affect only investment firms and trading platforms. They will, however, have access to new information (particularly regarding the bond market) that will enable them to shed more light on their investment decisions and execution strategy (or make a judgement on the execution quality offered by their intermediaries).	None

⁴⁴ In the versions applicable as of 3 January 2018.

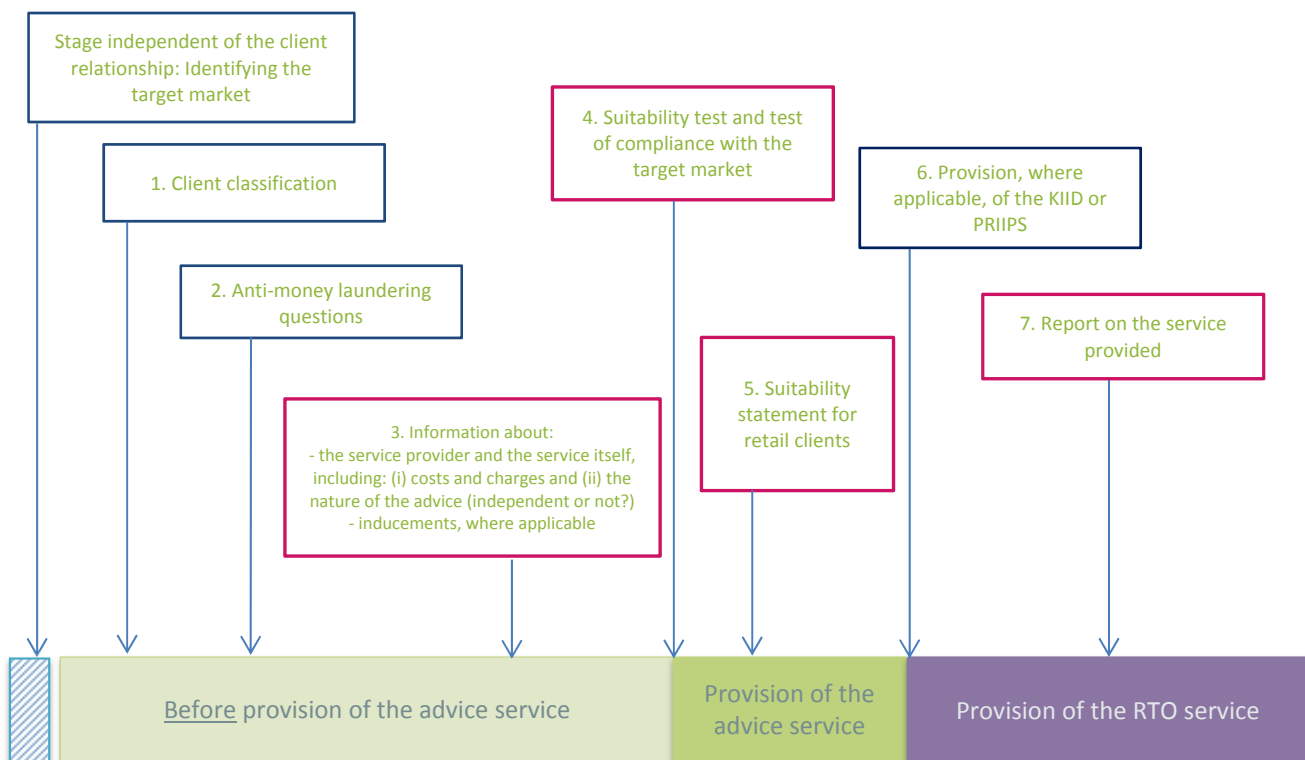
Section 12 - Case study: The marketing of UCI units

One by one, the previous sheets provide details on the measures introduced by MiFID II that are liable to directly or indirectly affect AMCs. The aim of this sheet is to show how the measures can be implemented in practice as part of the distribution of UCIs, particularly through the provision of an investment service.

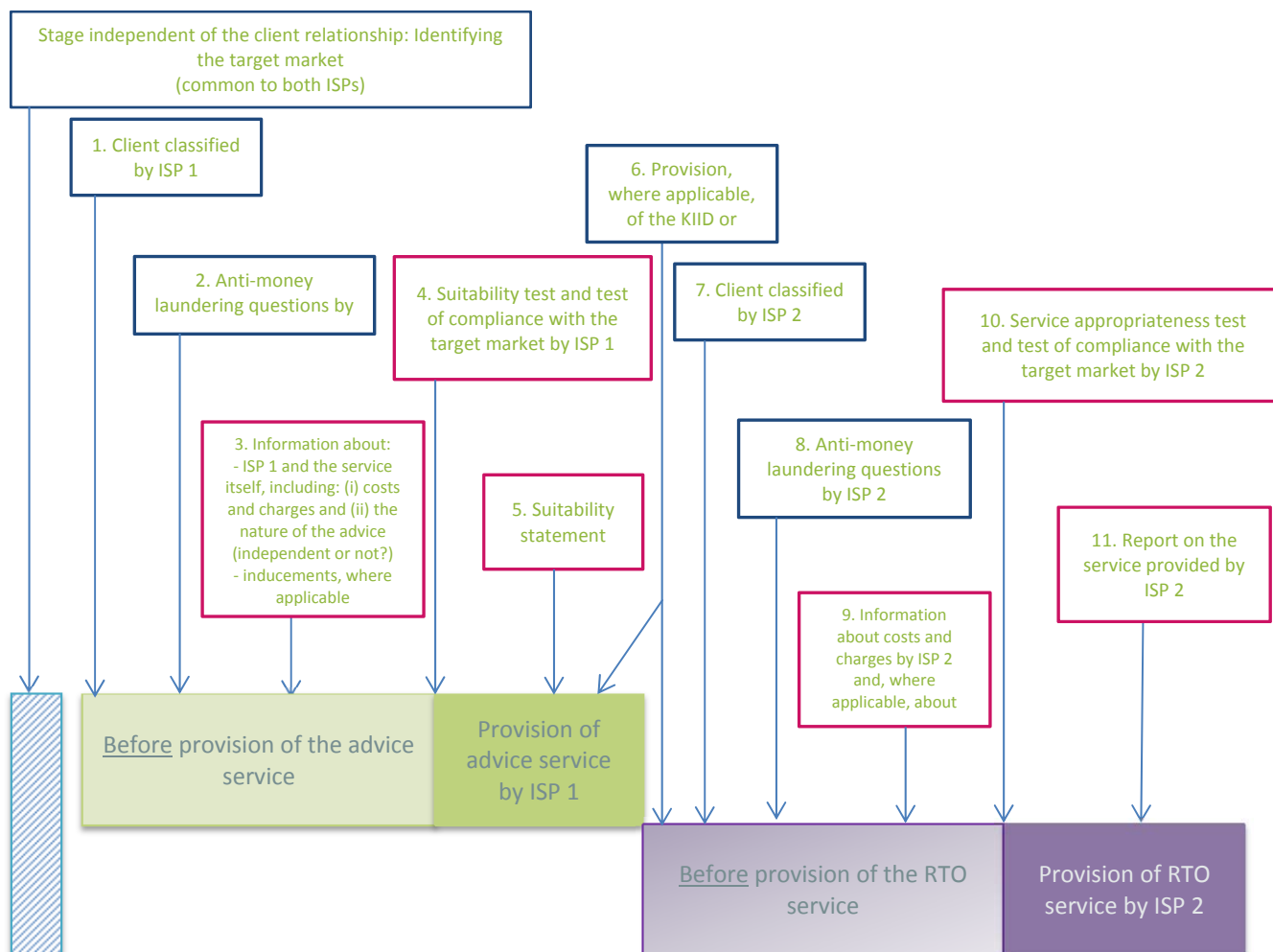
As such, the two flow charts that follow show the process that should be adopted during the provision of investment advice and an RTO service relating to a UCI unit. From initial contact with the client to the transaction itself, each stage is presented in chronological order. These examples do not aim to give an exhaustive list of the different stages of the client relationship; they are provided purely for illustrative purposes.

In the first scenario, the same operator provides investment advice and an RTO service, while in the second scenario, each service is provided by a different entity. **New measures or changes arising from MiFID II are shown in a red box.**

Scenario 1: marketing of UCI units via the provision of investment advice and an RTO service by the same ISP



Scenario 2: marketing of UCI units via the provision of investment advice by one ISP and an RTO service by another ISP



Section 13 - Research funding

Main reference texts

European laws & regulations	French texts ⁴⁵
Level 1 Directive 2014/65/EU Articles 24(7) and 24(8)	Articles L. 533-12-2 and L. 533-12-3 of the Monetary and Financial Code.
Level 2 Delegated Directive of 7 April 2016 Article 13	Book III of the AMF's General Regulation (to come)

Summary

MiFID II prevents IFs from accepting and retaining any payment or non-monetary benefit as part of providing a third-party portfolio management service or independent investment advice (see Section 9 above).

Definition of research:

Recital 28 of the Delegated Directive specifies the two criteria for qualifying research pursuant to article 13 of same:

- (i) It should be research **material or services** concerning **one or several financial instruments or other assets, or the issuers or potential issuers** of financial instruments **or research material or services** closely related to a specific sector or market **such that it informs views** on financial instruments, assets or issuers within that sector or market.
- (ii) That type of material or services **explicitly or implicitly recommends or suggests an investment strategy and provides a substantiated opinion** as to the present or future value or price of such instruments or assets, **or** contains **analysis and original insights and reaches conclusions** based on new or existing information that could be used to inform an investment strategy and be relevant and capable of adding value to the investment firm's decisions on behalf of its clients.

Research constitutes a non-monetary benefit because it is provided to AMCs and funded by clients. MiFID II aims to ensure tighter control of research expenses and their decorrelation from transaction volumes or values. These new measures apply to all types of research, including equity or credit research.

In order to avoid being classed as an inducement (see Section 9), article 13 of the Delegated Directive requires research to be funded either directly by the AMC out of its own resources or through a separate research payment account (RPA), provided the following conditions are met:

- the RPA is funded by a specific research charge to the client;

⁴⁵ In the versions applicable as of 3 January 2018.

- research expenses are determined and executed in accordance with a pre-established budget, and are independent of transaction volumes or values;
- quality research contributes to better investment decisions;
- the budget is allocated by portfolio type according to strategy, and shared out between the various research providers under the supervision of management;
- there is *ex-ante* and *ex-post* client transparency.

Subject to certain adjustments, the commission sharing agreements (CSA) mechanism introduced in 2007 could fulfil the requirements contained in MiFID II.

What will be the impact on AMCs?	Level of impact
MiFID II measures affect AMCs only as regards discretionary asset management or independent investment advice. Moreover, following certain adjustments, the CSA and unbundling system may be compliant with MiFID II.	High
AMCs are not required to apply MiFID II research funding provisions to collective asset management. They may, however, choose to do so.	None

Find out more: Public consultation by the AMF on the new rules for the funding of research by investment firms under MiFID II⁴⁶.

Section 14 - Data recording and retention

Main reference texts

European laws & regulations	French texts ⁴⁷
Level 1 Directive 2014/65/EU Articles 16(6) and 24(7)	Article L. 533-10 II and III of the Monetary and Financial Code
Level 2 Delegated Regulation of 25 April 2016 Articles 72 to 76	N/A
Level 3 ESMA Q&A (as and when published)	

Summary

MiFID II renews the overall requirement for IFs to record and retain data, in a durable medium, on any service they provide, activity they perform or transaction they carry out.

Although Level 1, which covers all investment services, contains no real changes to the status quo - particularly as regards investment advice and third-party portfolio management services - it does provide significant detail on considerations regarding order transmission and receipt, order execution and own-account trading. Indeed, it introduces an obligation to record and retain phone conversations and electronic communications (or any other written or face-to-face communication regarding pertinent information) pertaining to the completion of transactions, even if these conversations and communications do not result in said transactions actually being completed or in services relating to client orders being provided.

Level 1 also specifies a few practicalities relating to this recording and retention: the IF must implement a system based on equipment it has provided itself (and not equipment belonging to employees with no possibility of recording or copying) and notify its clients that they may be recorded (the clients being entitled to request that they are sent any recordings), and the retention period is set at five years (up to seven years where requested by the competent authority). Level 1 also bans the provision of investment services by phone to clients who have not been notified in advance that the conversation may be recorded.

According to the activity of the IF and the services provided, Level 2 provides more information about the nature of recordings deemed to be compulsory. For example, Annex 1 to the Delegated Regulation mentions: information relating to client assessment and order handling, reporting to clients about the services provided and the costs, compliance controls and, more generally, anything pertaining to organisational requirements (records of conflicts of interest, inducements, complaints, personal transactions), etc.

More specifically in relation to phone recordings that may result in a transaction, Level 2 provides some additional information, particularly about appropriate control procedures.

⁴⁷ In the versions applicable as of 3 January 2018.

What will be the impact on AMCs?	Level of impact
Collective asset management The provisions relating to data recording and retention are defined by sector-based European regulations and transposed, where applicable, into national law. The principles and methods used to record data relating to order processing are also very similar to those laid down by MiFID II.	None
Investment advice and portfolio management for third parties The traceability of the various stages of an investment service relationship between an AMC and its client is, for the most part, based on existing rules. However, where applicable, the AMC should ensure compliance with the "compulsory" recordings as listed in Annex 1 of the Delegated Regulation. Finally, as regards third-party portfolio management and recording orders as part of the asset management business, IFs are subject to the same obligations as those that apply in collective asset management.	Low
RTO Where an RTO service is provided, the new obligations contained in MiFID II shall apply. Although some rules are similar to existing ones (length of recordings, practical methods, etc.), the Directive expands the scope of compulsory recordings and imposes certain additional or more detailed constraints regarding client disclosure, the range of conversations to be recorded ("those that may result in a transaction"), the necessary equipment (controlling private devices), control procedures, etc.	Moderate

Q&A

Which communications must be recorded?

Conversations relating to completed transactions or that may result in a transaction. In particular, this refers to phone conversations associated with receiving and transmitting an order (own-account trading and execution where applicable for ISPs authorised to provide these services). Please also see ESMA's Q&A on this subject⁴⁸.

On the contrary, a conversation relating to the provision of investment advice is not itself subject to recording, even if such leads to a subsequent transaction (during another conversation). Nevertheless, if the AMC is authorised to provide both investment advice and RTO services, it must:

- either implement a procedure aimed at clearly separating the channels corresponding to the provision of the two services, and be satisfied simply with recording conversations relating to order handling;
- or record all conversations likely to feature both advice being provided and an order being processed.

Equally, conversations (with a broker, for example) regarding the processing of an order (RTO) are affected, as are requests, offers, questions or indications of interest about price or size.

Face-to-face conversations relating to a transaction are also subject to recording and traceability obligations (date, time, place, relevant information about price, volume, etc.). Back-office conversations are not, however, subject to such obligations.

⁴⁸ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Which electronic communications are affected?

The following usual forms: video conferences, fax, email, Bloomberg messaging, SMS, B2B devices, chat, instant messaging, etc.

What are the practical consequences of these recordings?

AMCs must determine on which lines such conversations will be recorded, establish and implement procedures aimed at making the use of these lines for such conversations compulsory, notify their employees and establish a personal phone usage policy to ensure that no private equipment which has not been authorised by the company is used, leaving it unable to guarantee recording or copying.

It will also be necessary to notify clients in advance that communications will be recorded and to agree to any request from clients that the recordings be sent to them.

What do the checks on the recording system involve?

Level 2 specifies that IFs should ensure their management body effectively supervises and controls the policies and procedures used to record phone conversations and electronic communications. The aim would appear to be to check that the system is operational and effective as part of first- and second-level controls and to use these recordings to ensure that the AMC's employees are complying with their professional obligations. As such, it would not appear to be an exhaustive compliance check of the content of these communications.

Moreover, on 10 October 2016, ESMA published its first Q&A on obligations pertaining to the recording of phone conversations and electronic communications⁴⁹.

⁴⁹ <https://www.esma.europa.eu/press-news/esma-news/esma-publishes-new-qa-investor-protection-under-mifid-ii>

Published on 16 March 2016, amended on 6 February 2017

Section 15 - Reminder of next steps

At European level

Time frame envisaged	Next step
Within the next few months	Publication by ESMA of Level 3 texts, including: - Guidelines on product governance (ESMA's consultation closed on 5 January 2017) - New Q&A

At national level

Time frame	Next steps
By 3 July 2017	A new ordinance on the IF/AMC unbundling, as well as the completion of Level 1 MiFID II transposition and 'negative' MiFIR transposition ⁵⁰
	Transposition (both standard and 'negative') of Level 2 texts into the AMF's General Regulation
	Updating of the AMF's General Regulation as part of the IF/AMC unbundling

At AMC level

Time frame	Next steps
By 31 March 2017	Feedback on operational amendments provided by companies affected by the new AMC status to their portfolio manager
By 30 June 2017	Presentation of a dossier to the AMF in the event of an organisational change requiring an authorisation request under AIFMD or to manage UCITS
3 January 2018	Compliance with new requirements relating to MiFID II work

⁵⁰ Revocation of national texts now governed by MiFIR, direct application.